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1. **Executive Summary:**

Overview

Google LLC, an American multinational technology company, specializes in artificial intelligence, online advertising, search engine technology, cloud computing, computer software, quantum computing, e-commerce, and consumer electronics. Widely recognized as "the most powerful company in the world" and esteemed as one of the globe's most valuable brands, Google attains this status through its market dominance, extensive data collection practices, and technological prowess in the realm of artificial intelligence. Google launched Bard in March 2023 to compete with ChatGPT and Duet AI for Workspace in August 2023 to add generative AI features to its productivity suite.

Problem Statement:

- Can Google avoid the Innovator's Dilemma and use Generative AI to organize the world's information and make it universally accessible and useful?
- What could be a transformative third horizon strategy capable of shaping the world?

Strategic Position:

Google has an extensive track record as a forward-thinking company, with its primary source of revenue stemming from advertising. Recently, the company released Gemini family of multimodal LLMs with Gemini Pro powering Bard. Google also gave generative AI features to advertisers using the Performance Max ad campaign product adept at creating advertisements tailored for Google platforms, including search and shopping. Considering these advancements, our suggestion is for Google to embrace a shaping strategy that fosters the flourishing of artificial intelligence across various industries, contributing to the enhancement of people's lives. This approach will not only solidify the company's leadership in the industry but also play a pivotal role in influencing the future landscape of advertising.

Recommendations:

In Horizon 1, Google's primary emphasis should be on cultivating trust and amplifying the adoption of their AI-driven products and services. This strategic focus is paramount for acquiring a larger customer base, enhancing customer engagement, and bolstering retention rates.

In Horizon 2, Google should expand AI applications to key sectors such as healthcare, robotics, and smart cities. Google should also foster open-source projects and incubate external startups to harness the power of community driven innovation.

In Horizon 3, Google should focus on building AI for customer support and training AI models which can understand verbal cues and videos. Google should also focus on quantum computing and neuromorphic computing. This will allow Google to build and run algorithms that are yet impossible.

1. **STEEP ANALYSIS**

Societal

Unethical Use of AI: The improper application of AI can inadvertently perpetuate discrimination, primarily stemming from biased datasets that favor certain groups based on factors such as race, gender, or age. This bias can manifest in decisions related to hiring, lending, and law enforcement, leading to unintended and unfair outcomes. The lack of transparency in many AI algorithms complicates the identification of such biases, and the resulting unintended consequences may reinforce existing prejudices or adversely affect vulnerable populations, ultimately resulting in unethical, irresponsible, and unsustainable outcomes.

Trust and Adoption Concerns: The deployment of AI raises substantial apprehensions regarding privacy and security, given its potential to surveil individuals without their consent, generate and disseminate misinformation, and collect and utilize personal data in ways that users did not anticipate. These issues pose significant risks, including the manipulation of public opinion, breaches of privacy, and the potential for the misuse of power. Consequently, these concerns erode societal trust in these technological advancements, fostering a reluctance to adopt them.

Job Displacement: The automation of jobs through AI has the potential to displace employment, particularly affecting vulnerable populations. As AI becomes capable of automating numerous tasks, sectors such as manufacturing, transportation, and customer service may witness job losses. While increased efficiency and productivity may benefit companies, the resultant job displacement raises legitimate concerns about the broader societal impact, necessitating thoughtful consideration of potential consequences.

Technological

Diverse AI Innovations: The field of developing cutting-edge AI solutions is marked by intense competition, and Google must consistently foster innovation to outpace competitors and uphold its leadership in the AI market. The development of AI applications necessitates substantial investments in research and development, with potential challenges including technical complexities and barriers to customer adoption.

Security and Privacy Implications: AI's capabilities extend to conducting precise and automated cyber-attacks that can elude traditional security measures, making detection and mitigation more challenging. In response, companies must invest in advanced security protocols, maintain regular updates to AI systems, ensure transparency in decision-making processes, and train AI systems to recognize and prevent malicious activities. Addressing these security and privacy concerns is crucial for maintaining trust and safeguarding against potential threats.

Environmental

AI and cloud technologies demand substantial energy consumption to fuel their computing infrastructure. With the continued expansion of AI and cloud computing usage, the energy needed to sustain the data centers and servers that underpin these technologies also escalates. This heightened energy consumption poses environmental challenges, potentially contributing to climate change and escalating operational costs for Google.

Economic

A decelerating economy can exert substantial pressure on companies to implement cost-cutting measures, potentially prompting a reassessment of their utilization of Google's campaign products. Despite playing a crucial role in marketing, companies may find it necessary to reduce usage to alleviate financial pressures.

Political

Government Regulations on AI Usage: Governments globally are implementing legislation to enforce the responsible and ethical utilization of AI, concentrating on aspects such as data privacy, algorithmic bias, transparency, and accountability. These regulations, while essential for ensuring ethical AI practices, can pose challenges and incur compliance costs for Google.

Global Political Stability: Achieving international cooperation and regulation is imperative to guarantee the ethical and responsible use of AI, preventing its contribution to political instability. Complying with AI laws and regulations across diverse regions and nations presents legislative complexities for Google.

Competitor-Led Lobbying: The advocacy efforts by competitors might result in regulations that impose stringent requirements on AI or cloud computing, constraining Google's ability to acquire new technology or expand its market share. Additionally, such regulations could potentially harm Google's reputation and erode public trust, leading to a decline in market share and profitability.

2. Competitive Scenario

The competitive scenario for Google can be categorized into three groups: Incumbents, Insurgents, and Adjacents.

Incumbents

Founded	1975	1994	1976
CEO	Satya Nadella	Andy Jassy	Tim Cook
Technology	Operating System, Enterprise Software, Cloud, Gaming	E-Commerce, Consumer Electronics, Cloud	Consumer Electronics, Services
Revenue	$211.9 billion	$554.03 billion	$383 billion
Products	Windows, Microsoft 365, Microsoft Azure, Xbox	Amazon.com, AWS, Prime Video, Alexa, Fire TV, Kindle	iPhone, iPad, Mac, Apple Watch, Apple TV, AirPods, HomePod, App Store, Apple Music
Number of employees	238,000	1,684,853	161,000
Market Cap	$2.733 T	$1.501 T	$2.818 T

Insurgents

Founded	2015	2011
CEO	Sam Altman	Eric Yuan
Technology	AI	Video Conferencing
Revenue	$1.6 billion	$4.39 billion
Products	GPT-1, 2,3,4, ChatGPT, DALL-E, OpenAI Codex, OpenAI Five	Zoom
Number of employees	770	8,484
Market Cap	-	$20.38 B

Adjacents

Founded	2004	2000
CEO	Mark Zuckerberg	Robin Li
Technology	Social Networking, VR, AR, Consumer Electronics, AI	Search, AI, Cloud
Revenue	$126.96 billion	$18.4 billion
Products	Facebook, Instagram, WhatsApp, Oculus, Portal, Meta AI	Search Engine, Baidu Maps, Baidu Blake, Baidu Wangpan, Baidu Taieba
Number of employees	66,185	45,500
Market Cap	$904.5 B	$41.3 B

3. Connecting the DOTS

1. Drivers

Evolution of Emerging AI Technologies: As artificial intelligence continues its rapid evolution, the industry's future remains uncertain, exposing Google to potential competitors who might develop more

advanced technology. To secure its position as the market leader, Google should capitalize on its early-mover advantage, prioritize research and development, and consistently explore opportunities for enhancement.

Building Trust in AI-Driven Products: Establishing trust in newly emerging AI-driven products is a critical consideration for Google. The market landscape is dynamic, with businesses and individual consumers potentially diverting their interests to alternative products. This makes the adoption of resources challenging, emphasizing the need for Google to address trust concerns and maintain a competitive edge.

2. **Opportunities**

Diversifying Technological Offerings for Increased Revenue: Google can broaden its product portfolio by placing a greater focus on technological offerings and incorporating advanced technology into its products. This strategic move could enable Google to extend its influence across various industries, including leveraging AI for enhanced customer support. Such initiatives have the potential to create additional revenue streams for the company.

Reinforcing Core Offerings and Cultivating Customer Trust: To fortify its core offerings and instill trust among customers, Google should enhance the upcoming release of Bard Advanced with advanced features. Additionally, empowering cloud computing, refining machine learning capabilities, and optimizing data processing functionalities can contribute to a more robust product suite.

3. **Threats**

Rising Unemployment Concerns: Google faces an ethical dilemma concerning the potential consequences of its implementation, as it could lead to the displacement of numerous individuals from their jobs, thereby causing considerable economic instability.

Political Strains Across Borders: The existence of political tensions across borders raises the risk of political restrictions being imposed, potentially resulting in the prohibition of Google's tools in various regions. This scenario could lead to a reduction in customer base and a decline in market share.

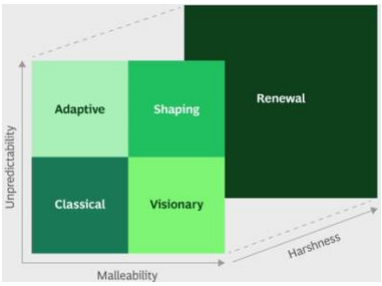
4. **Strategic Response**

Enhancing Features: The emphasis should be on introducing improved features, including video processing, extensions to connect Bard with 3rd party apps and services, and Bard app for Android and iOS.

Expanding Google's Product Portfolio: Diversifying Google's product mix involves venturing into different business sectors, such as Google Cloud, and enterprise software.

Boosting Cloud Computing Capabilities: Empowering cloud computing capabilities entails augmenting automation within Google Cloud services for both corporate and private users.

4. **Strategy Palette**



Given the existing product roadmaps at Google, they currently adopt a "Adaptive" strategy within their strategic framework. However, looking ahead to horizon 3, which spans over three years, it is recommended that they adopt a "Shaping" approach. This involves expanding their product offerings with significantly enhanced AI capabilities.

5. **Recommendations:**

Horizon 1 (1-2 Years)

As part of the Horizon 1 strategic plan, Google should concentrate on two immediate plans:

Enhancing Trust in AI: To bolster trust among the public, Google should ensure widespread utilization of its Bard and Duet AI. Introducing a freemium model with tiered packages would enable users to engage with the AI tools, fostering increased adoption. Additionally, Google should offer a 3-month trial

specifically tailored for SMEs, allowing them to experience the full capabilities of Duet AI before making a purchase.

Boosting Adoption: Merely offering discounts and pricing adjustments is insufficient. To maximize the effectiveness of the recommendation, Google needs to provide guidance to users. Demonstrating commitment to Responsible AI is crucial.

Horizon 2 (2-4 Years)

As part of the Horizon 2 strategic plan, Google should concentrate on two plans:

Expand AI applications: To drive innovation and foster transformative advancements, it is imperative for Google to prioritize robust Research and Development (R&D) initiatives and strategic partnerships in the realm of AI-powered solutions. Targeting key sectors such as healthcare, robotics, and smart cities will not only enhance Google's technological capabilities but also contribute significantly to addressing critical challenges and making a positive impact. By channeling resources and efforts into R&D and cultivating meaningful collaborations, Google can position itself at the forefront of cutting-edge developments in these impactful sectors.

Embrace user-driven innovation: This strategy involves fostering open-source projects, incubating external startups, and actively engaging with user communities. By embracing open-source initiatives, Google can encourage the collective development of ideas and solutions, harnessing the power of community-driven innovation. Incubating external startups will allow Google to tap into a diverse pool of entrepreneurial talent, providing a platform for emerging ideas to flourish.

Horizon 3 (4-7 Years)

As part of the Horizon 3 strategic plan, Google should concentrate on two plans:

AI for Customer Support: Beyond capturing speech and text, the next frontier involves training AI models with verbal cues and videos, enabling a more comprehensive understanding of non-verbal communication. By incorporating the Stable Diffusion artificial human, customers can engage with AI-

driven digital humans or avatars, revolutionizing the landscape of customer services and management. The integration of FAQs and past transaction data enhances accuracy in responding to queries. This innovation presents a transformative opportunity for both SMEs and large companies to optimize operational costs by streamlining customer service personnel while redirecting resources towards innovation and research, thereby enhancing overall efficiency and productivity in customer support.

Invest in Next-Generation of AI Research: Quantum computing and neuromorphic computing are revolutionary domains with the potential to redefine the limits of computational capabilities. By investing in these cutting-edge technologies, Google can unlock new frontiers in computing, offering solutions that were previously unimaginable. Quantum computing, with its ability to process complex algorithms at unprecedented speeds, and neuromorphic computing, mimicking the brain's neural architecture, hold the promise of transformative breakthroughs.

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